down. He dug in his heels and braced for a fight. He found a convenient chink in the armour of the holding company, Tata Sons, which had a very low stake holding in almost all its major companies. The lion's share of the holdings, generally around 40 per cent, was held by governmental financial institutions.

The holding of Tata Sons in the case of TISCO was particularly low. It was less than one-third of its average stake in all its ten listed companies in 1991.

Mody moved to garner the support of the financial institutions with controlling shares in the company to support him to frustrate implementation of the retirement policy. Towards this end, he met several political heavyweights to convince them that with the low holdings, Tata Sons had no right to administer TISCO.

It was reported that the embattled chief managing director had met with senior politicians including Prime Minister Narasimha Rao and Finance Minister Manmohan Singh. The others whom he met included Jyoti Basu, Biju Patnaik and Lalu Prasad Yadav, chief ministers of West Bengal, Orissa and Bihar respectively, who 'threw in their lot with Mody'. It was also reported that pro-Congress (I) trade unions with a strength of around 40,000 had supported Mody and had even threatened labour unrest in case he was removed.

Ratan and Nusli Wadia worked to counter Mody by appealing to Sharad Pawar for support. Ratan also persuaded JRD to fly to Delhi to meet Rao and Singh. He arrived in Delhi on 24 May 1992 and met with them, but was advised to settle the matter without interference from the government. Faced with this position by New Delhi, Mody too could not hope to get support from financial institutions in his brush with Bombay House.

Ratan also recalls that Mody had met Singh to get the financial institutions to put their weight behind him but was refused any kind of support. Mody's efforts to seek government support to checkmate Tata Sons further hardened Ratan's position. He found it unpardonable that an incumbent chief managing director would approach the government against the promoter.

The Uncontrollable Mody

Mody could not countenance the thought that the retirement policy would mean that his innings in the steel company would soon end. His actions